VU QUIZ REPORT

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Subject: MGT201

Quiz Completed: 11/05/2026, 22:08:46
Total Questions: 10

Question 1:

The value of a security in the equity or bond market is called:

A. Market value

B. Intrinsic value

C. Written down value

D. Par value

Selected Answer: A

Question 2:

The future value of an investment can be calculated through:

A. Simple interest only

B. Compound interest only

C. Both simple and compound interest

D. Neither simple interest nor compound interest

Selected Answer: C

Question 3:

Issuance of _____ give ownership rights.

A. Common shares

B. Debentures

C. All of the given options

D. Bonds

Selected Answer: A

Question 4:

A zero coupon is issued for 2 years with a maturity value of Rs. 500. What will be the intrinsic value of this bond, if the interest rate is 12% per annum?

A. Rs. 398.6

B. Rs. 464.2

C. Rs. 389.6

D. Rs. 446.4

Selected Answer: A

Question 5:

An Islamic banking instrument in which one party buys an asset and sells to another party at a higher price, while sale proceeds are received on an installment basis is called:

A. Murabaha

B. Modaraba

C. Musharaka

D. Ijara

Selected Answer: A

Question 6:

If interest rate is 7% compounded annually and time period is 4 years, the future value interest factor will be:

A. 1.28

B. 1.41

C. 1.31

D. 1.14

Selected Answer: C

Question 7:

_____ is an Islamic form of leasing where an asset is given by a party as a financing to another party and against that fixed amount of rent is charged.

A. Murabaha

B. Ijara

C. Modaraba

D. Musharaka

Selected Answer: B

Question 8:

Which one of the following statements best describes the simple interest?

A. Interest charged only on bank loans

B. Interest that remains stagnant in first period

C. Interest applied on the principal amount

D. Interest that gradually grows with time

Selected Answer: C

Question 9:

Which one of the following features of preferred shares adds up and carries forward the unpaid dividend to next period?

A. Cumulation

B. Conversion

C. Redemption

D. Participation

Selected Answer: A

Question 10:

Which one of the following models is not applicable if required rate of return on an investment is less than the growth rate of a company?

A. Dividend Discount Model

B. Miller-Orr Model

C. Capital Asset Pricing Model

D. Modigliani Miller Model

Selected Answer: A